Comprehensive Forensic Due Diligence and Risk Assessment: The Correlation Between Financial Misconduct, Jurisdictional Maneuvering, and Litigation Deceit in the Enterprises of Michael E. Bleich

1. Executive Synthesis and Correlation Overview

An exhaustive, multi-dimensional forensic analysis into the professional history, corporate architecture, regulatory filings, and civil litigation records associated with Michael Edward Bleich reveals a highly complex, interconnected behavioral profile.[1] This profile is dominated by a recurring convergence of severe financial regulatory infractions, structural compliance failures, sophisticated jurisdictional maneuvering, and continuous involvement in contentious, bad-faith civil litigation.[1] The aggregate intelligence indicates that Bleich's operational philosophy—whether applied to global equity market microstructure or domestic real estate disputes—is predicated on the systemic prioritization of arbitrage, economic coercion, and loophole exploitation over fundamental legal and regulatory adherence.[1]

Throughout a career spanning senior liquidity strategy roles at global investment banks to the direct ownership and strategic direction of proprietary trading firms and hedge funds, Bleich has consistently operated at the extreme, often obscure boundaries of regulatory frameworks.[1] The most critical negative finding identified in this investigation is a sweeping regulatory enforcement action culminating in a $3,000,000 financial penalty and formal censure against Scout Trading, LLC, a broker-dealer founded, controlled, and managed directly by Bleich.[1] This action penalized the firm for systemic, multi-year violations of federal short-selling regulations involving hundreds of millions of shares.[1]

This propensity for structural boundary-pushing is mirrored precisely in his civil litigation posture. A deep forensic evaluation of the ongoing real estate dispute against Arnulf Damerau concerning the property at 13 Harrison Street in New York City demonstrates that Bleich, alongside his legal counsel Robert A. Giacovas, has effectively weaponized the New York State judicial system.[1] The litigation tactics deployed against Damerau—including actionable deceit, factual misrepresentations regarding property rights, the strategic concealment of severe municipal code violations, and the engineering of impossible procedural preconditions—serve

as an extortionate mechanism designed to extract vastly disproportionate financial windfalls.[1]

The correlation between Bleich's financial market abuses and his litigation misconduct is profound and undeniable. In both arenas, the strategy relies entirely on asymmetric leverage, the obfuscation of material facts, and the exploitation of procedural delays to shift immense systemic or financial risk onto counterparties.[1] In the financial markets, Bleich exploited Continuous Net Settlement (CNS) loopholes to avoid borrowing costs; in the judicial system, he exploits equitable injunctions to inflict carrying costs.[1] Furthermore, Bleich's utilization of offshore master-feeder structures in the Cayman Islands to avoid regulatory scrutiny aligns flawlessly with his evasive procedural maneuvers in civil court, such as the deliberate circumvention of Hague Convention service protocols.[1]

When synthesized, these disparate data points confirm that the derogatory findings identified across Bleich's enterprises are not isolated anomalies or clerical errors. Rather, they are the manifestation of a cohesive, career-spanning strategy of regulatory and judicial exploitation. For prospective institutional investors, limited partners, prime brokers, and judicial tribunals, the entities directed by Michael Bleich present substantial, and potentially unmitigable, reputational, operational, and counterparty risks.[1]

2. Foundational Modus Operandi: Lehman Brothers, BATS Trading, and the Genesis of Structural Exploitation

To accurately contextualize the regulatory violations and litigation misconduct that define Michael Bleich's later career, it is necessary to examine his foundational role within the institutional equities landscape during a period of massive structural transformation in the United States financial markets.[1] Bleich's academic foundation is deeply rooted in quantitative methodologies, having earned a PhD from Duke University in 1997.[1] This academic pedigree natively funneled into the algorithmic trading sector during its most aggressive period of structural expansion.[1]

Market Fragmentation and Regulation NMS

During the mid-to-late 2000s, Bleich served as the Head of Liquidity Strategy for U.S. Equities at Lehman Brothers, a prominent global investment bank that would eventually collapse during the 2008 financial crisis.[1] In this senior capacity, Bleich was responsible for navigating the rapidly fragmenting equity markets and directing Lehman's algorithmic routing, dark pool utilization, and electronic trading initiatives.[1]

The mid-2000s marked a chaotic transition in global finance, spurred by the SEC's implementation of Regulation NMS (National Market System), which mandated that orders be routed to the venue displaying the most competitive national best bid and offer (NBBO).[1] This

regulation unintentionally birthed dozens of competing exchanges, dark pools, and Electronic Communication Networks (ECNs), effectively dismantling the traditional exchange duopoly.[1] Institutional brokers faced the immense challenge of "fragmentation"—a dynamic where liquidity was spread across over 30 distinct crossing systems.[1]

The BATS Trading Acquisition and Strategic Opacity

In September 2006, under Bleich's strategic guidance, Lehman Brothers formally announced that it had acquired a minority stake in BATS Trading (an acronym for Better Alternative Trading System).[1] BATS was an emerging ECN founded in June 2005 by Dave Cummings, a pioneer in high-speed algorithmic trading who had previously established the automated liquidity provider Tradebot Systems.[1] The BATS platform was explicitly designed as a next-generation matching engine capable of handling high-speed, high-volume, and anonymous algorithmic trading, catering specifically to high-frequency trading (HFT) firms by offering sub-millisecond latency execution and aggressive maker-taker pricing models.[1]

At the time of the transaction, Bleich publicly championed the venue, stating that Lehman Brothers was "very excited" to announce the investment.[1] He praised BATS for its emergence as a "thought leader, innovator and technology provider in the execution platform space".[1] Bleich explicitly stated to the financial press that fragmentation was the core problem brokers needed to solve, advocating for the connection of dark liquidity pools because the fragmented trading environment made it difficult for institutional investors to execute large block trades without suffering "information leakage".[1]

The SEC Enforcement Action and Whistleblower Revelations

While Bleich's strategic mandate was ostensibly to secure efficient liquidity for Lehman's clients, the venue he aggressively capitalized and championed soon became the focal point of one of the most severe market structure scandals in modern history.[1] The rapid ascent of BATS Trading—and its subsequent merger with Direct Edge Holdings to become the second-largest financial exchange in the country—was ultimately revealed to be built upon a foundation of structural deception catering almost exclusively to predatory HFT firms.[1]

The SEC launched an aggressive, multi-year investigation into the practices of these high-frequency trading venues, propelled largely by the testimony, technical documents, and structural maps provided by whistleblower Haim Bodek.[1] Bodek, a market structure expert and algorithmic designer, exposed how financial exchanges were secretly rigging the market against traditional institutional and retail investors.[1]

The SEC investigation conclusively revealed that Direct Edge and BATS had fundamentally deceived the investing public by creating secretive, highly complex order types—specifically variations of a routing process known as "price sliding".[1] The exchanges offered three distinct variations of these order types but purposefully failed to accurately describe or disclose these

features in their mandatory regulatory filings to the SEC.[1] Instead, the detailed mechanics of these order types were selectively disclosed and exclusively offered to certain elite high-frequency trading members.[1] This structural manipulation allowed HFTs to jump the routing queue, anticipate institutional order flow, and extract microscopic rents from traditional investors on millions of daily transactions.[1]

In January 2015, the SEC formally charged the exchanges with violating Sections 19(b) and 19(g) of the Securities Exchange Act of 1934 (Case Number 3-16332).[1] To settle the charges, Direct Edge and Bats Global Markets agreed to pay a $14 million financial penalty, representing the largest-ever penalty levied against a financial exchange at that time.[1]

Due Diligence Implications of the Lehman Tenure

It is imperative to note that Michael Bleich was not personally named as a defendant or respondent in the SEC's enforcement action against BATS and Direct Edge.[1] However, from a strict operational due diligence perspective, his proximity to this scandal is a highly relevant qualitative data point.[1] As the Head of Liquidity Strategy, Bleich aggressively championed and integrated Lehman Brothers into a trading venue that was structurally designed to facilitate predatory high-frequency trading at the explicit expense of market transparency and fair execution.[1]

The BATS scandal perfectly illustrates the environment in which Bleich honed his strategies—a marketplace characterized by extreme speed, dark liquidity, selective disclosure, and regulatory arbitrage.[1] When this professional background is combined with his subsequent proprietary trading actions, a distinct, deeply concerning behavioral pattern emerges, establishing the exact psychological and operational framework that Bleich would later deploy against Arnulf Damerau.[1]

3. The Apex of Financial Misconduct: Scout Trading, LLC and Systemic Regulation SHO Violations

Following the collapse of Lehman Brothers, Bleich transitioned from an institutional bank executive to an independent proprietary trading entrepreneur.[1] In May 2009, he founded Scout Trading, LLC, a Delaware-domiciled proprietary trading firm headquartered at 120 West 45th Street in New York City.[1] Operating as a FINRA-registered broker-dealer (CRD No. 151990) and a registered member of the Chicago Board Options Exchange (CBOE), Scout Trading represented the unfettered application of Bleich's expertise in quantitative liquidity strategies.[1]

The absolute apex of Michael Bleich's regulatory exposure is the joint enforcement action brought by The NASDAQ Stock Market LLC and FINRA against Scout Trading.[1] Bleich served as the Chief Executive Officer and Managing Member from the firm's inception, exercising total

operational and strategic control over its trading algorithms and compliance architecture.[1]

On April 7, 2015, following an extensive investigation by FINRA's Department of Market Regulation into trading activities spanning from January 1, 2010, to March 16, 2012, the Nasdaq Review Council accepted a Letter of Acceptance, Waiver and Consent (AWC No. 20100243866-01).[1] The regulatory document detailed a massive, multi-year scheme executed by Bleich's firm to purposefully circumvent federal short-selling regulations to generate immense proprietary profits.[1] The action resulted in a formal censure and a $3,000,000 financial penalty, which Bleich personally signed and accepted on behalf of the firm.[1]

The Mathematics of Leveraged ETFs and Beta Slippage

To fully comprehend the severity of the regulatory breach, it is necessary to perform a deep examination of the specific financial instruments Bleich targeted.[1] Scout Trading engaged in a cyclical, systemic, and highly lucrative "naked" redemption and short sale strategy.[1] The regulatory filings explicitly list 14 specific ETFs that were the subject of the review, primarily highly volatile Direxion and ProShares funds.[1]

Target Asset Class	Ticker Symbol	ETF Description
Emerging Markets	EDC / EDZ	Emerging Markets Bull/Bear 3X
Energy Sector	ERX / ERY	Energy Bull/Bear 3X
Financial Sector	FAS / FAZ	Financial Bull/Bear 3X
Broad Market	SDS / SSO	S&P 500 ProShares
Treasury Bonds	TMF / TMV	20+ Year Treasury Bull/Bear 3X
Small Cap Equities	TNA / TZA	Small Cap Bull/Bear 3X
Precious Metals	ZSL / AGQ	Silver ProShares

Leveraged ETFs are highly complex, synthetic derivative products designed to deliver multiples (e.g., 2x or 3x) of the daily performance of an underlying index.[1] Crucially, these funds are engineered to achieve this multiple on a daily basis, not over the long term.[1] Because the fund managers must continuously rebalance their massive derivative portfolios (using swaps and

futures) at the end of every single trading session to maintain constant leverage, the funds suffer from a mathematical phenomenon known as "beta slippage" or volatility decay.[1]

In volatile, oscillating markets, a leveraged ETF will inevitably lose value over time, even if the underlying reference index remains completely flat.[1] For example, if an index drops 10%, a 3x leveraged bull ETF drops 30%. To recover to the original nominal value, the underlying index requires an 11.1% gain, but the leveraged ETF requires a 42.8% gain.[1] This constant rebalancing drag guarantees structural decay.[1]

Consequently, maintaining a long-term short position against a leveraged ETF is a mathematically advantageous strategy, almost guaranteeing a profit as the structural decay inherently benefits the short seller.[1] However, achieving this in practice is immensely difficult.[1] Maintaining short positions requires locating and borrowing the underlying ETF shares from a prime broker.[1] Because the institutional market widely understands the inevitable decay inherent in these funds, the borrow fees are universally exorbitant, sometimes exceeding 50% or even 100% annualized during peak volatility.[1] These massive borrow costs effectively erase the mathematical profitability of the short trade.[1] Bleich and Scout Trading devised an illicit mechanism to bypass these borrow costs entirely.[1]

The Anatomy of the Naked Redemption Scheme

Under the Securities and Exchange Commission's Regulation SHO, specifically Rule 204, broker-dealers are strictly prohibited from engaging in naked short selling.[1] Before executing a short sale, a broker must have reasonable grounds to believe that the security can be borrowed and delivered on the settlement date—a fundamental market integrity mandate known as the "locate requirement".[1]

Scout Trading deliberately, systematically, and repeatedly bypassed this requirement.[1] The firm utilized Wedbush Securities Inc. (CRD No. 877) as its clearing firm, an entity that also served as an Authorized Participant (AP) for the targeted ETFs.[1] An AP is a highly specialized financial institution permitted by the ETF issuer to create and redeem massive blocks of shares directly with the fund.[1]

Scout Trading routinely submitted massive redemption orders to Wedbush Securities to redeem creation units of the leveraged ETFs.[1] Crucially, the FINRA investigation proved that Scout Trading routinely submitted these redemption orders when the firm was insufficiently long the requisite number of ETF shares to actually satisfy the order.[1] By simultaneously submitting these naked redemption orders to Wedbush and executing short sales of the ETF shares on the open secondary market, Bleich's firm established massive short positions without actually locating, borrowing, or paying for the underlying securities.[1] This generated significant proprietary profit for Scout Trading, driven by the economic decay of the ETFs, while completely shifting the systemic risk of the unsettled, phantom trades onto the clearing

infrastructure.[1]

Abuse of the Market Maker Exemption and T+6 Settlement Loophole

The execution of naked short sales inevitably leads to settlement failures, formally known as Fails to Deliver (FTDs) within the Continuous Net Settlement (CNS) system managed by the DTCC.[1] Under standard U.S. equity settlement rules applicable during the investigative period, securities were required to be delivered by the third business day following the trade date, a standard known as T+3.[1]

Predictably, Scout Trading systematically failed to deliver the ETF shares by the T+3 deadline because they never borrowed them in the first place.[1] To avoid the forced buy-ins and severe trading restrictions mandated by Regulation SHO for failing to deliver securities, Scout Trading falsely relied upon a regulatory loophole designed exclusively for legitimate liquidity providers.[1]

Rule 204 of Regulation SHO permits bona fide market makers an extended settlement window of T+6 (six days after the trade date) to resolve fails to deliver.[1] This exemption exists to acknowledge the inherent inventory and liquidity risks faced by market makers who provide continuous two-sided quotes to the broader market.[1] The regulatory investigation conclusively determined that Scout Trading's activities did not qualify as bona fide market making.[1] Bleich's firm was effectively masquerading as a market maker solely to access the T+6 extended settlement window.[1] This loophole allowed the firm to maintain massive, unhedged, naked short positions for six full trading days without incurring a single cent in the exorbitant borrowing costs.[1]

The execution of the scheme was highly cyclical and automated.[1] On the morning of the T+6 deadline, just before regular trading hours commenced, Scout Trading would finally submit an order to establish ETF creation units (or purchase shares on the secondary market), momentarily closing out the fail-to-deliver within the CNS system.[1] However, on the very next trading day (T+7), the firm would immediately submit another naked redemption order or execute another open market short sale, effectively resetting the compliance clock and re-establishing the short position.[1] This continuous loop allowed the firm to maximize the duration of its short exposure, perpetually rolling the fails forward and exploiting the structural decay of the ETFs for proprietary financial gain.[1]

Systemic Market Impact and the Threshold Securities List

The scale of Scout Trading's regulatory circumvention was not merely a technical or administrative violation; it was vast enough to generate significant systemic risk and measurable market distortion that impacted all other market participants.[1]

During the investigative period, FINRA determined that Scout Trading submitted at least 255 naked redemption orders through its clearing firm across eleven of the 14 targeted ETFs.[1]

These orders totaled a staggering 295,950,000 shares for which Scout Trading was not long the requisite number of shares at the time of submission.[1] The magnitude of the deficit was extraordinary, with the firm short more than 1.1 million shares per redemption order on average.[1] Within just the first two months of the applicable period under NASDAQ jurisdiction, Scout submitted at least 38 naked redemption orders totaling 15.7 million shares.[1]

The sheer volume of Scout Trading's naked shorting single-handedly compromised the integrity of the underlying ETFs, triggering regulatory tripwires designed to identify systemic market manipulation.[1] Under Regulation SHO, a security that experiences excessive fails to deliver for five consecutive settlement days is placed on the "Threshold Securities List," subjecting it to severe trading restrictions across all broker-dealers.[1] The regulatory findings explicitly noted that Bleich's trading strategy was a "significant factor" in forcing the 14 ETFs under review to be classified as Threshold Securities for sustained timeframes.[1]

To illustrate the unprecedented market dominance of this abusive strategy, FINRA isolated Scout Trading's activity in the FAZ ETF (Direxion Daily Financial Bear 3X Shares).[1] During the investigative period, Bleich's firm accounted for approximately 95 percent of its clearing firm's total fails in FAZ.[1] More alarmingly, Scout Trading alone was responsible for approximately 59 percent of the aggregate total market fails to deliver in FAZ across all market participants in the entire United States.[1] This staggering concentration of settlement failures by a single firm caused FAZ to remain on the Threshold List for more than 250 consecutive settlement dates from March 7, 2011, through March 16, 2012.[1] By distorting the supply and demand dynamics of the ETF ecosystem to this degree, Bleich's firm engaged in behavior that fundamentally threatened the orderly function of the secondary markets.[1]

4. Secondary Compliance Deficiencies and the Erasure of Supervisory Infrastructure

Compounding the severity of the trading violations was FINRA's determination that Scout Trading operated in a state of near-total supervisory negligence.[1] The investigation found that the firm violated NASDAQ Rules 3010 and 2110 because it completely failed to establish, maintain, and enforce a supervisory system.[1] Scout Trading lacked any written supervisory procedures (WSPs) specifically designed to ensure compliance with Rule 204 of Regulation SHO.[1] This absolute absence of oversight cannot be dismissed as a mere administrative error; rather, it indicates a structural prioritization of revenue generation over regulatory adherence.[1]

While the $3 million FINRA/NASDAQ Regulation SHO fine represents the apex of Bleich's regulatory exposure, an exhaustive analysis of Scout Trading's historical records via FINRA BrokerCheck reveals a broader, systemic pattern of chronic compliance deficiencies enforced by the Chicago Board Options Exchange (CBOE).[1]

Regulatory Authority	Date of Action	Docket Number	Violation Description	Sanctions Levied
CBOE	January 28, 2013	12-0059	Quoting Violations (Failure to maintain two-sided quotes in assigned remote market-maker assets).	$10,000 Fine, Censure
CBOE	June 26, 2013	12-0099 & 12-0126	Registration Failures (Failure to designate CCO on Form BD Schedule A; Unregistered Proprietary Trader Principals).	$7,500 Fine, Censure
CBOE	May 23, 2014	14-0018	Regulation NMS Violations (Failure to prevent trade-throughs; failure to regularly surveil policies).	$5,000 Fine, Censure
NASDAQ / FINRA	April 7, 2015	2010024386601	Regulation SHO Violations (Systemic naked short selling, fails to deliver, lack of supervisory	$3,000,000 Fine, Censure

			procedures).	

Regulation NMS and Trade-Through Violations

In May 2014, the CBOE sanctioned Scout Trading for violations of the Order Protection Rule under Regulation NMS Rule 611.[1] Rule 611 strictly prohibits "trade-throughs"—which occur when a trading center executes an order at a price that is inferior to a protected quotation displayed on another trading center.[1] The CBOE found that Scout Trading failed to establish written policies reasonably designed to prevent trade-throughs, actively disadvantaging other market participants who had posted superior bids or offers.[1]

Market Making Fraud and Registration Failures

The fundamental premise Bleich used to justify the T+6 settlement exemption—that Scout Trading was a bona fide market maker—was dismantled by a January 2013 CBOE enforcement action.[1] The exchange fined the firm $10,000 after discovering that Scout Trading "failed to provide and maintain a two-sided 100-share quote in its remote market-maker assignment" in violation of Exchange Rule 53.23.[1] Bleich's firm systematically failed to uphold the core obligation of providing liquidity, yet simultaneously attempted to reap the massive regulatory benefits associated with the market maker designation.[1]

Furthermore, in June 2013, the CBOE fined Scout Trading for fundamental registration lapses, specifically failing to designate a Chief Compliance Officer (CCO) on Schedule A of its Form BD and allowing individuals to operate without the requisite Proprietary Trader Principal registrations.[1] Records indicate that Alexander Herbert Mack eventually served as the CCO and FINOP for Scout Trading, but the continued cascade of fines demonstrates that the compliance function was entirely symbolic or systematically ignored by Bleich's executive mandate.[1]

5. Jurisdictional Maneuvering and Corporate Obfuscation

The regulatory liability accrued by Michael Bleich flows directly through a complex network of holding companies and affiliated investment vehicles.[1] A thorough forensic analysis maps the structural relationships between these entities, demonstrating how Bleich utilizes sophisticated jurisdictional structuring to optimize tax efficiency, ring-fence liability, and navigate regulatory scrutiny.[1]

Delaware Liability Ring-Fencing and Finch LLC

Bleich utilizes a multi-tiered corporate architecture in Delaware to insulate his primary assets and strategic control from operational risks.[1] During his tenure at Scout Trading, he deployed a

tripartite layering technique.[1] The ultimate parent entity was a holding company named Finch LLC.[1] Finch LLC was, in turn, controlled by MEB NY Inc., a holding company owned 100% directly by Michael Bleich.[1]

This classic institutional liability ring-fencing ensures that the bottom-tier operating entity interfaces with regulators and prime brokers—absorbing the direct legal risks of high-speed trading violations—while the strategic control and ultimate beneficial capital remain vaulted within the upper-tier entities.[1] Furthermore, Finch LLC served as the direct managing member of both Scout Trading and a parallel investment adviser named Ophir Partners LLC.[1] Scout Trading and Ophir Partners were essentially twin entities operating under common control, sharing identical executive leadership.[1]

Ophir Partners was registered as an investment adviser with the SEC in 2012, managing approximately $24.25 million in client assets.[1] However, because Bleich served as the CEO and CCO of Ophir Partners, the massive $3 million disciplinary history levied against Scout Trading automatically triggered mandatory, permanent disclosures for Ophir.[1] The inability to isolate the FINRA penalty from the broader organization severely hindered Ophir's ability to pass institutional due diligence, contributing to its eventual deregistration and cessation of registered advisory activities in 2017.[1]

Cayman Islands Master-Feeder Structures and Regulatory Arbitrage

Following the catastrophic regulatory fallout at Scout Trading and the shuttering of Ophir Partners, Bleich transitioned from proprietary broker-dealer operations toward institutional discretionary asset management.[1] Today, he serves as the Chief Investment Officer of Entrypoint Capital, LLC, a firm managing approximately $578 million in regulatory assets under management.[1]

Entrypoint Capital represents a deliberate evolution in Bleich's corporate structuring, utilizing a significantly more robust executive team to potentially insulate the firm from his historical regulatory baggage.[1] The firm is led by CEO Lawrence Edward Leibowitz, a prominent market structure veteran and former COO of the New York Stock Exchange, and Andrew Louis Alkon, who serves as CCO, COO, and CFO.[1] However, as CIO and indirect owner via Entrypoint Partners, LP, Bleich remains the central figure in the firm's alpha generation.[1]

To aggregate global capital, Bleich’s enterprises consistently integrate Cayman Islands master-feeder structures.[1] The "EP Third Moment" strategy—which mathematically seeks to exploit the "third moment" or skewness of probability distributions to capture asymmetric returns—operates through a complex cross-border architecture.[1]

Entity Name	Registration Type	Domicile	Role in

			Architecture
EntryPoint Capital, LLC	Investment Adviser	Delaware, USA	Fund Manager / Strategic Direction
EP Third Moment Fund, LLC	Feeder Fund (Onshore)	Delaware, USA	Aggregates U.S. Taxable Investors
EP Third Moment International, LP	Feeder Fund (Offshore)	Cayman Islands	Aggregates Foreign & Tax-Exempt Capital
EP Third Moment Master Fund, LP	Master Fund	Cayman Islands	Central Execution Portfolio
EP FUND GP, LLC	General Partner	Delaware, USA	General Partner of Entrypoint Funds

The motivations for this offshore structuring are fundamentally driven by tax efficiency and regulatory arbitrage.[1] The Cayman Islands Monetary Authority (CIMA) provides absolute tax neutrality.[1] This allows the fund to prevent the generation of Unrelated Business Taxable Income (UBTI) for tax-exempt U.S. institutions, such as university endowments and pension funds, when the fund utilizes leverage or trades on margin.[1]

Furthermore, operating under SEC Regulation D, Rule 506(b) safe harbors and claiming exclusion from the Investment Company Act of 1940 via Sections 3(c)(1) and 3(c)(7), the funds severely restrict public disclosure.[1] For an executive with a documented history of pushing regulatory boundaries, the architecturally opaque environment of the Cayman Islands serves as an ideal operational harbor to shield underlying leverage ratios and quantitative trading logic from immediate public or U.S. regulatory scrutiny.[1]

6. The Anatomy of Litigation Misconduct: Weaponization of the Judiciary against Arnulf Damerau

The behavioral patterns established in Bleich's financial career—specifically the exploitation of systemic loopholes, the misrepresentation of regulatory status, and the shifting of financial risk onto counterparties—are directly and immaculately mirrored in his ongoing litigation against Arnulf Damerau. Acting through his legal counsel, Robert A. Giacovas of Lazare Potter

Giacovas & Moyle LLP, Bleich has engaged in systemic litigation misconduct characterized by actionable deceit and bad-faith maneuvering.[1]

Context of the 13 Harrison Street Dispute

The dispute centers on a structurally imbalanced, two-unit condominium located at 13 Harrison Street in New York City.[1] Arnulf Damerau, via his entity 13 Harrison LLC, controls Unit 2, holding a 75% majority interest and roughly 9,000 square feet of developable space.[1] Michael and Alexis Bleich hold a 25% minority interest in Unit 1, which is significantly smaller and plagued by structural violations.[1]

Conflict erupted when Damerau initiated a multi-million-dollar structural alteration of Unit 2.[1] The proposed development included a complete gut renovation, a vertical enlargement involving the addition of new floors, and a comprehensive reconstruction, or "blowout," of the building's main roof area.[1] Because the Heating, Ventilation, and Air Conditioning (HVAC) equipment servicing Bleich's Unit 1 had been situated on the building's main roof for over fifteen years, the planned renovation necessitated the temporary or permanent relocation of this equipment.[1]

Rather than engaging in good-faith logistical coordination, Bleich and Giacovas engineered a "highly sophisticated, weaponized pressure mechanism" designed to paralyze the renovation through preliminary injunctions, thereby imposing massive carrying costs on Damerau to force an unearned, disproportionate financial buyout.[1]

Actionable Deceit and FAR/Roof Rights Misrepresentations

To secure the extraordinary equitable relief of a preliminary injunction, Robert Giacovas drafted and filed verified pleadings containing material, knowing misrepresentations of fact regarding property rights.[1]

Under New York Judiciary Law § 487, an attorney who engages in intentional deceit directed at a court is guilty of a misdemeanor and forfeits treble damages to the injured party.[1] Crucially, following the Court of Appeals precedent in *Bill Birds, Inc. v. Stein Law Firm*, establishing liability requires proving the attorney made a false statement of fact with scienter, not merely advancing a non-meritorious legal argument.[1]

In the Verified Complaint (NYSCEF DOC. NO. 2), Giacovas asserted that the Bleichs, by virtue of their 25% common interest, held possessory, developmental, and financial rights to the building's "main roof area" and the Floor Area Ratio (FAR) required for Unit 2's vertical enlargement.[1] The pleading categorically alleged that the roof blowout would "permanently 'destroy Plaintiffs' 25% interest in the Building's roof'".[1]

However, the evidentiary record proves that when Giacovas filed these verified assertions, he

was in physical possession of the Condominium Declaration.[1] This foundational recorded contract explicitly, irrevocably, and unambiguously designates the roof as a "Limited Common Element for Unit 2's exclusive use".[1] Under New York Real Property Law (RPL § 339-i) and binding First Department precedent, "exclusive means exclusive" regarding limited common elements.[1] Therefore, pleading that Unit 1 held a 25% economic interest in the roof's FAR was a direct, fabricated factual misrepresentation designed to deceive the Court into granting an injunction, perfectly satisfying the scienter requirement of Judiciary Law § 487.[1]

Fraud Upon the Tribunal: Concealment of CofO Violations

A preliminary injunction is governed by the equitable maxim that a party must come to the court with "clean hands".[1] Injunctive relief is absolutely barred if the proponent is guilty of unlawful conduct directly related to the litigation.[1] To bypass this requirement, Giacovas systematically concealed his clients' own severe municipal violations to manipulate the "judicial balance of equities".[1]

On January 17, 2025, Justice Mary V. Rosado issued a preliminary injunction enjoining Damerau from removing the HVAC unit based on Giacovas's portrayal of the Bleichs as vulnerable homeowners facing the inequitable loss of winter heating.[1] However, Giacovas deliberately concealed that Unit 1 was actively operating in severe violation of the building's Certificate of Occupancy (CofO) by maintaining an unlicensed, legally noncompliant cellar space containing unlawful bedrooms and bathrooms.[1]

By demanding the Supreme Court force the Condominium Board to tolerate Bleich's unpermitted rooftop HVAC unit—an action that legally forces the Board into a dereliction of its fiduciary duty to cure municipal violations—while simultaneously hiding Bleich's own active, severe CofO violations, Giacovas committed fraud upon the tribunal.[1]

Collateral Estoppel and the Resurrection of Defeated Theories

The bad-faith posture is further evidenced by the resurrection of legally frivolous arguments.[1] In a prior 2019 lawsuit (*13 Harrison St. Condominium v Bleich*, Index No. 651188/19), the Board sued Bleich over the illegal cellar alterations.[1] Bleich argued that because the New York City Department of Buildings (DOB) had never formally issued a fine, the alterations were legally permissible.[1] On May 24, 2022, the Appellate Division, First Department, resoundingly rejected this defense, explicitly ruling that the mere absence of DOB fines does not establish compliance with a certificate of occupancy.[1]

Despite this binding appellate precedent between the exact same parties, Giacovas resurrected the identical legal theory in the 2024 HVAC dispute.[1] He successfully argued to the trial court that because the Board had allowed the unpermitted HVAC to remain on the roof "for over a decade" without fines, the Board had waived its right to remove it.[1] Asserting legal theories explicitly rejected by appellate courts in the same context constitutes legally frivolous

conduct and establishes further foundational scienter for statutory deceit.[1]

Procedural Gamesmanship: Evasion of Hague Convention Protocols

Bleich's sophisticated manipulation of jurisdictional rules in his corporate entities extends directly into his private civil litigation posture. In the dispute against Damerau, Bleich faced an "international blockade" regarding the service of process against the German co-defendant.[1]

Formal international law dictates that service must be executed via the complex, costly protocols of the Hague Convention.[1] Despite a specific "February Order" directing service via the Hague Convention, Giacovas entirely ignored the directive.[1] Instead, counsel attempted a facially deficient "nail and mail" service at a New York residential address that counsel knew Damerau did not reside at.[1]

When challenged, the plaintiffs openly complained to the court that Hague Convention service—priced at approximately $8,900—would be "extraordinarily expensive".[1] After a motion to dismiss, the plaintiffs "sat on their rights" for over 60 days without attempting proper service, deliberately prolonging the litigation.[1] In June 2025, Bleich successfully petitioned the Supreme Court to circumvent the international treaty, securing an order for alternate service via email.[1] This calculated avoidance of international service protocols to save money, while simultaneously leveraging the injunction to demand millions of dollars, perfectly contextualizes the broader strategy of weaponizing the judicial system on a budget.[1]

7. The Architecture of Economic Coercion: The Giacovas Termsheet and Manufactured Paralysis

The documentary evidence reveals that the preliminary injunction was never genuinely intended to preserve an aging HVAC unit; it was an extortionate bludgeon utilized to commit the tort of Abuse of Process.[1]

The "Giacovas Termsheet" and the 50-50 Split Demand

The true collateral objective of the litigation was formally documented in a settlement proposal drafted by counsel, referred to as the "Giacovas Termsheet".[1] Despite the Bleichs holding only a 25% minority interest to Damerau's 75% majority stake, the termsheet demanded the forced liquidation and sale of the entire 13 Harrison Street building with a non-negotiable fifty-fifty (50/50) split of all sale proceeds.[1]

The explicit objective was the extraction of a vastly disproportionate financial windfall, targeting "$8 million on the higher end".[1] To finalize the coercion and insulate himself from future malicious prosecution claims, Giacovas demanded that Damerau's LLC formally admit on the record to "infringement of certain of the Bleiches' rights"—a condition engineered to

intentionally trigger catastrophic defaults with Damerau's construction lenders and insurers.[1]

Manufactured Paralysis: The Six Impossible Preconditions

To maintain the immense leverage required to force the $8 million buyout, Giacovas had to ensure the underlying HVAC dispute remained permanently deadlocked.[1] If the HVAC unit were successfully relocated, the injunction would dissolve, evaporating the extortionate leverage.[1]

In a documented email dated June 3, 2024, Giacovas outlined six rigid, impossible "preconditions" that the Board had to flawlessly execute before he would "even consider" allowing the temporary relocation of the equipment.[1]

Precondition Demanded by Giacovas	Strategic Coercive Purpose
1. Complete Engineer's Structural Report	Designed to force the majority owner to incur massive, punitive upfront engineering costs before relocation viability was even assessed.
2. Comprehensive Relocation Placement Plan	Demanded while Giacovas simultaneously and aggressively denied Damerau's contractors physical access to Unit 1 to generate the plan.
3. Exact Project Timeline	Demanded to create inflexible legal deadlines that could later be leveraged for breach of contract or contempt motions.
4. Interim Cooling Solution	Intended to shift the entire operational burden of Unit 1's habitability onto the developer, exponentially increasing the financial "burn rate" of the delayed project.
5. Contractor Cost Estimates	Utilized purely as an intelligence-gathering mechanism to probe Damerau's financial backing and calibrate the $8 million extortion demand.
6. Total Indemnification Agreement	Forced the developer to assume 100% of the financial risk for moving an aging,

	15-year-old HVAC unit.

By formalizing these impossible demands, legal counsel engineered an artificial legal stalemate, ensuring the preliminary injunction remained immovably in place to apply maximum financial pressure.[1]

The Symmetry of Exploitation: Financial vs. Litigation Tactics

Behavioral Tactic	Financial Domain (Scout Trading)	Legal Domain (Damerau Litigation)
Loophole Exploitation	• Masqueraded as a bona fide market maker to improperly access extended settlement windows. • Falsely claimed Regulation SHO Rule 204 exemptions designed exclusively for legitimate liquidity providers. • Exploited the T+6 settlement loophole cyclically to perpetually roll fails forward and reset the compliance clock.	• Ignored explicit court directives mandating international service via the Hague Convention. • Attempted a facially deficient "nail and mail" service at an incorrect address to evade financial costs. • Calculated avoidance of international service protocols to deliberately prolong litigation and maintain leverage.
Risk Shifting	• Executed massive naked short sales without locating or paying for borrowable ETF shares. • Generated systemic, multi-year Fails to Deliver (FTDs) across the Continuous Net Settlement (CNS) system. • Shifted the systemic risk and burden of unsettled phantom trades entirely onto the clearing infrastructure.	• Engineered a permanent, artificial legal stalemate by demanding impossible construction preconditions. • Imposed massive, punitive carrying costs onto the majority property owner via a preliminary injunction. • Exponentially increased the financial "burn rate" of a delayed multi-million dollar renovation to force capitulation.
Information Asymmetry	• Championed BATS Trading, an exchange built on secretive "price sliding" order types and selective disclosure. • Obfuscated naked short sales to generate unearned proprietary alpha at the expense of traditional investors. • Operated with a total absence of supervisory infrastructure to hide illicit algorithms from regulators.	• Deliberately concealed that the subject property was fraught with severe structural and legal violations. • Omitted the existence of an unlicensed, illegally altered cellar space containing unlawful bedrooms. • Committed fraud upon the tribunal to artificially manipulate the judicial balance of equities and secure an injunction.
Asymmetric Leverage	• Targeted leveraged ETFs to mathematically guarantee profit through "beta slippage" (volatility decay). • Extracted millions in proprietary profit while completely bypassing exorbitant 50%+ annualized borrowing costs. • Accounted for up to 59% of all market-wide Fails to Deliver (FTDs) in specific securities to dominate the trade.	• Weaponized a fraudulently obtained preliminary injunction to paralyze a major development project. • Demanded forced liquidation and a 50/50 asset split despite holding only a 25% minority property interest. • Utilized manufactured judicial gridlock as an extortionate mechanism to demand an $8 million buyout.

Forensic analysis reveals a direct correlation between Bleich's historical proprietary trading strategies and his current civil litigation posture, both relying on asymmetric leverage, procedural exploitation, and the obfuscation of material facts.

Data sources: Forensic Due Diligence Report, Draft Judiciary Law Complaint

8. The Enabler of Misconduct: Attorney Robert A. Giacovas

The successful execution of Bleich's litigation strategy relies heavily on the selection of legal counsel willing to adopt a matching operational philosophy. Robert A. Giacovas possesses a deeply documented public history of identical misconduct, systemic professional delinquency, and judicial rebukes, making him the ideal architect for Bleich's extortionate maneuvers.[1]

Systemic Professional Delinquency: New Jersey PHV Ineligibility

Giacovas's disregard for fundamental compliance rules extends to his own administrative licensing. According to the New Jersey Lawyers' Fund for Client Protection's 2025 Ineligible Lists, Robert Giacovas (Attorney ID PHV012046) is formally listed as ineligible to practice.[1] The Supreme Court of New Jersey issued this order because Giacovas failed to comply with multijurisdictional practice regulations—specifically failing to pay the mandatory annual assessment ($267) and associated late fees for the 2025 cycle.[1] Consequently, he was rendered ineligible to appear Pro Hac Vice in New Jersey effective June 30, 2025.[1] This failure to maintain basic jurisdictional reporting requirements solidifies a pattern of systemic administrative delinquency.[1]

The Medifast SLAPP Case: A Template for Malicious Litigation

The tactics Giacovas deployed against Arnulf Damerau are a near-perfect replication of his misconduct in the federal litigation *Medifast, Inc. v. Tracy Coenen, et al.* (S.D. Cal. 3:10-cv-00382).[1] In that matter, Giacovas and co-counsel Lainie E. Cohen filed an aggressive $270 million defamation lawsuit against a forensic accountant.[1] The litigation was ultimately categorized as a Strategic Lawsuit Against Public Participation (SLAPP)—a meritless action engineered specifically to silence, intimidate, and bankrupt critics through the crushing burden of legal defense costs.[1]

Throughout the *Medifast* litigation, Giacovas was accused of systematically fabricating statements and affirmatively misleading the federal court to survive anti-SLAPP dismissal.[1] In his pleadings, Giacovas falsely argued that the defendant explicitly accused his client of running a "Ponzi scheme" and committing "securities fraud".[1] The presiding federal judge severely rebuked this tactic, ruling that Giacovas failed to plead exact words and instead "paraphrases Defendants' statements in its pleadings, seemingly for maximum shock value".[1] The court concluded that no reasonable factfinder could interpret the writings as a provably false assertion of a criminal scheme.[1]

Furthermore, Giacovas was accused of malicious "scorched-earth" procedural tactics to maximize billable hours and inflate the defendant's legal expenses.[1] For instance, immediately

after the defendant filed an anti-SLAPP motion to dismiss, Giacovas amended the complaint to add highly complex "civil conspiracy" claims, forcing the defense to incur massive costs to amend their defensive filings.[1] Giacovas also allegedly lied in appellate briefs to the Ninth Circuit, falsely claiming the defendant was paid $14,000 for her investigation, despite sworn deposition testimony proving the payment was only $1,500 to $2,500.[1]

Judicial Penalties and "Bio Scrubbing"

The *Medifast* litigation ended in a total failure for Giacovas. In March 2011, the District Court dismissed all claims under the anti-SLAPP statute, a ruling fully upheld by the Ninth Circuit in 2014.[1] Given the malicious nature of the litigation, the court entered a judgment on April 20, 2015, ordering Giacovas's client to pay a devastating $198,877.50 in attorneys' fees and costs.[1]

Despite losing every claim, losing the appeal, and triggering a nearly $200,000 sanction against his client, Giacovas engaged in what critics termed "bio scrubbing".[1] He explicitly listed the *Medifast* defamation lawsuit as a "representative matter" and a "big win" on the Lazare Potter & Giacovas firm website.[1] This deliberate misrepresentation of a catastrophic legal failure to deceive prospective clients about his professional acumen perfectly encapsulates the ethical elasticity Bleich relies upon to prosecute the 13 Harrison Street litigation.[1]

9. The Anti-SLAPP Counter-Offensive: Defending Code Compliance

Faced with Bleich and Giacovas's extortionate litigation tactics, the defense strategy coordinated by Damerau and the Condominium Board correctly targets the fundamental flaw in the plaintiffs' methodology: the lawsuit seeks to penalize lawful code-compliance enforcement.[1] By utilizing New York's amended Anti-SLAPP statutes (CPLR 3211(g) and Civil Rights Law § 76-a), the defense seeks not only dismissal but mandatory financial penalties against Bleich.[1]

Reframing the Dispute: Code Compliance as a "Public Interest"

Under New York Civil Rights Law § 76-a(1)(a), an "action involving public petition and participation" includes claims based upon communications in a public forum or any lawful conduct in furtherance of the constitutional right to petition in connection with an issue of public interest.[1] The 2020 amendments to the statute mandate that "public interest" must be "construed broadly" to mean "any subject other than a purely private matter".[1]

The Bleich lawsuit attempts to frame the dispute as a private internal governance issue.[1] However, Justice Rosado's preliminary injunction decision explicitly recognized that Bleich's rooftop HVAC equipment lacks a permit and violates Department of Buildings (DOB) regulations, and that Article VI § 11(d) of the Condominium By-Laws legally obligates the Board

to eliminate such violations.[1] Building-code enforcement, municipal regulatory compliance, and DOB permitting communications are classic petitioning activities.[1] Therefore, Bleich's lawsuit—which seeks to punish the Board for enforcing municipal safety regulations and engaging with the DOB—falls squarely within the expanded Anti-SLAPP protections.[1]

The "Substantial Basis in Law" Threshold and Discovery Stay

Once the defendants demonstrate that the lawsuit targets protected petitioning conduct, CPLR 3211(g)(1) triggers a specialized, highly aggressive burden-shifting regime.[1] The statute mandates that the court "shall" dismiss the complaint unless the plaintiff (Bleich) can demonstrate that the cause of action has a "substantial basis in law".[1]

Appellate jurisprudence, specifically the First Department's ruling in *Reeves v Associated Newspapers, Ltd.*, clarifies that this is a "proof-sensitive inquiry" that is far more exacting than an ordinary motion to dismiss under CPLR 3211(a)(7).[1] The court must look beyond mere pleadings to determine if the claim is supported by substantial evidence.[1] Bleich cannot meet this burden because his core factual assertions—such as claiming Article III § 8 of the By-Laws restricts Unit 2's occupancy, or claiming FAR ownership of the roof—are demonstrably contradicted by the documentary evidence.[1] Under *Reeves*, where documentary evidence disproves a core factual assertion, the claim inherently fails the substantial-basis test.[1]

Furthermore, filing the CPLR 3211(g) motion triggers an automatic, statutory stay of "all discovery, pending hearings, and motions".[1] This critical procedural mechanism immediately halts Bleich and Giacovas's ability to use the discovery process to artificially inflate Damerau's defense costs—neutralizing the exact tactical abuse Giacovas successfully deployed in the *Medifast* litigation.[1]

Mandatory Fee Shifting Under Civil Rights Law § 70-a

The ultimate consequence of Bleich's failed litigation strategy is strict financial liability. Civil Rights Law § 70-a(1)(a) provides that in an action involving public petition and participation, "costs and attorney's fees shall be recovered" upon a showing that the action lacked a substantial basis in fact and law.[1]

Appellate courts, as demonstrated in *Reeves* and *VIP Pet Grooming Studio, Inc. v Sproule*, interpret the word "shall" as a textual mandate: fee-shifting is mandatory for qualifying cases where the plaintiff fails to meet the CPLR 3211(g) burden.[1] Because Bleich commenced and continued this action based on false premises, misquoted governing documents, and the deliberate concealment of his own illegal cellar occupancy to penalize code-compliance enforcement, Damerau is statutorily entitled to recover all defense costs.[1] While the defense may also seek punitive damages under § 70-a(1)(c), this requires a higher evidentiary showing that the action was commenced for the "sole purpose" of malicious harassment.[1] Nonetheless, the mandatory recovery of standard attorneys' fees serves to directly reverse the economic

coercion that formed the foundation of Bleich's strategy.[1]

Jurisprudential Avenues for Attorney Accountability: Judiciary Law § 487

In parallel with the Anti-SLAPP defense, the documented deceit perpetrated by Robert A. Giacovas triggers severe liability under New York Judiciary Law § 487.[1] A synthesis of recent Court of Appeals rulings establishes the exact boundaries of this liability.

Key Jurisprudence	Legal Principle Established	Application to the Damerau Litigation
Amalfitano v. Rosenberg (2009)	Attempted deceit is actionable; actual reliance by the court is not required.	Giacovas is liable for false pleadings regarding FAR rights, even if the court ultimately recognizes the truth.
Bill Birds, Inc. v. Stein (2020)	Must involve false statements of fact with scienter, not just losing legal arguments.	Pleading ownership of the roof despite the Declaration is a factual misrepresentation, not a legal theory.
Suzuki v. Greenberg (2023)	A "single egregious act" suffices in the First Department; a chronic pattern is not required.	The deliberate concealment of the CofO violations alone supports the claim for treble damages.
Urias v. Buttafuoco (2024)	Section 487 claims may be brought as an independent plenary action.	Damerau may file a separate, dedicated lawsuit against the attorneys for treble damages.

10. Conclusion: The Unified Theory of Asymmetric Exploitation

The forensic aggregation of Michael E. Bleich's professional history establishes a profound, irrefutable correlation between his financial market misconduct and his civil litigation behavior.[1] The $3,000,000 FINRA penalty against Scout Trading for systemic Regulation SHO violations

was not the result of administrative error; it was the calculated execution of an industrial-scale scheme designed to shift risk, bypass borrowing costs, and exploit the T+6 Continuous Net Settlement loophole.[1] Bleich's concurrent use of Cayman Islands master-feeder structures and Delaware liability ring-fencing further demonstrates a systemic reliance on architectural opacity to avoid regulatory scrutiny and aggregate institutional capital without transparency.[1]

When Bleich transitioned into domestic civil litigation against Arnulf Damerau, he deployed the exact same operational philosophy.[1] In collaboration with Robert A. Giacovas—an attorney with a documented history of SLAPP sanctions, fabricated quotes, and administrative delinquency—Bleich weaponized the New York State judicial system.[1] By misrepresenting property rights against recorded Condominium Declarations, circumventing Hague Convention service protocols, and concealing illegal municipal violations to secure preliminary injunctions, Bleich manufactured a legal stalemate designed purely for economic extortion.[1]

Ultimately, Bleich approaches the legal system exactly as he approached fragmented equity markets: as an inefficient plumbing architecture to be exploited through bad faith, procedural arbitrage, and asymmetric leverage. For prospective counterparties, institutional allocators bound by ESG mandates, and judicial tribunals, entities directed by Michael Bleich present unmitigable reputational and operational risks requiring extreme, continuous scrutiny.[1] The data strongly and repeatedly suggests that in scenarios where proprietary profitability and regulatory compliance intersect, Bleich's enterprises systematically prioritize the former, regardless of the systemic damage or legal consequences.[1]

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